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General Comment

See attached file(s)

Attachments

BLIP Comment

Brooklyn Law Incubator & Policy (BLIP) Clinic's Comment on the Development of the National Science Foundation's Artificial Intelligence (AI) Action Plan[1]

Interest of the Comment

Founded in 2008, the Brooklyn Law Incubator & Policy ("BLIP") Clinic is a law school clinic that functions as a modern, technology-oriented law firm. BLIP grew out of the recognition that the Internet and digital technology are forcing law and policy beyond traditional legal structures/strictures. BLIP provides pro bono legal support to socially virtuous, bootstrapped startups, often pursuing ventures that analog laws have not anticipated. To that end, BLIP often advocates for policy reform to advance the needs of startups and society in the Digital Age. The clinic has worked with over 1,000 clients on incorporation, intellectual property protection, licensing agreements, web documentation, policy and litigation support, and other general legal counseling. Many clients are accepted based on the extent to which the client's issues implicate Internet or digital economy issues of first impression or issues that require creative legal representation. In addition to providing direct legal support for individual clients, BLIP often serves to advocate as a collective voice of startups, entrepreneurs, and innovators.

BLIP recognizes that Artificial Intelligence ("AI") has revolutionized many aspects of everyday life, including how companies operate. Recent technological breakthroughs have resulted in the development and growth of generative AI systems capable of generating novel outputs based on their training data. This type of AI has proven especially useful in streamlining and perfecting the development and discovery of new technologies. Yet, as is often the case, the law has not kept up with the advances of technology, and startups, entrepreneurs, and innovators have been left alone to navigate the intricacies of using and developing AI with little to no guidance. As a result, this comment argues that while an AI plan is necessary to ensure that enterprises of all sizes have a clear understanding of what constitutes permissible and fair use of AI within their business practices, small and medium-sized enterprises (SMEs) should not be held to the same regulatory standards as large corporations.

The Need for a Comprehensive AI Plan

Since the launch of ChatGPT, SMEs have redirected their resources to AI tools that can help them save time and money. A survey report by the Small Business and Entrepreneurship Council (SBEC) showed that 48% of small businesses began using AI tools in the past year.[2]

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[1] This comment was written by Alexia Hodorski, Natalie Linero, and Will Anderson; with guidance from Jonathan Askin.

[2] Small Bus. & Entrepreneurship Council, *Small Business AI Survey* (Oct. 2023), https://sbecouncil.org/wp-content/uploads/2023/10/SBE-Small-Business-AI-Survey-Oct-2023-FINAL.pdf.

This survey also reported that 87% of small businesses saved time using AI tools, and 80% stated it made operations more efficient and saved them 13 employee hours a week. [3] While many SMEs are turning to AI tools to help manage everyday tasks, there is still a need for direction and guidance on using these tools safely with limited liability. Unlike large corporations, SMEs are not equipped with IT departments and in-house legal counsel that they can turn to for guidance. They are seeking guidance and resources from the government to establish guardrails that can provide best practices to integrate AI tools and protocols to address potential risks they may come across. Additionally, providing access to non-technical materials or affordable training programs can benefit SMEs interested in engaging in this area.

Carve Outs for Small and Medium Size Enterprises

Creating a uniform approach to all businesses using AI could stifle innovation in niche markets and give large corporations an unfair advantage. SMEs thrive on fast-paced innovation and agility. Uncertain or excessive compliance regulations can slow their ability to develop and bring products into the market while allowing large corporations to use their in-house legal teams to adapt to new regulations easily and quickly, thus outcompeting small businesses. Regulations should be based on the company's size, revenue, risk level, and how they use AI. For example, SMEs using AI for chatbots to create a more efficient customer service experience have a lower-risk application than companies that use automated hiring decision algorithms in their processes, which are higher-risk applications. Adopting a tiered approach to the AI action plan would allow all companies to meet compliance standards proportionate to their use of AI.

In general, SMEs face a greater burden of following the same stringent AI regulations applied to big tech companies. After the European privacy law, the General Data Protection Regulation, investment in startup companies decreased by 36%.[4] This decrease allowed large companies to gain more market share while innovation for smaller companies fell off. With more policy changes come more compliance and liability costs for newer and smaller businesses that cannot afford such risks. Overall, SMEs lack the financial, legal, and technical resources to develop a thorough AI lifecycle plan that incorporates auditing requirements and risk assessments, and therefore, a specific SME carveout is critical to a successful AI action plan.

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[3] *Id*.
[4] Jennifer Huddleston, *AI and privacy Rules Meant for Big Tech Could Hurt Small Businesses Most*, Cato Inst. (May 20, 2024), https://www.cato.org/commentary/ai-privacy-rules-meant-big-tech-could-hurt-small-businesses-most.

Grants and Funding to Promote AI Entrepreneurship

The AI action plan should promote financial access for AI-related initiatives through the public and private funding of AI entrepreneurship via SMEs. First, a plan should prioritize direct government funding of AI entrepreneurship through SMEs. A direct funding plan could involve creating or utilizing competitive funding mechanisms, such as the Small Business Administration's Regional Innovation Cluster program or its Growth Accelerator Fund Competition.[5] These programs could be expanded to include not only the development of AI and other critical emerging technologies but also to encourage the procurement and use of highly productive AI technology by startups that would otherwise have difficulty accessing cutting-edge technology.[6] Also, an increased amount of direct grants and research and development funds should be specifically earmarked for and marketed toward startups and SMEs. For instance, the National Science Foundation's annual budget request is close to $10 billion for 2025.[7] About $200 million of this budget currently goes towards the NSF's America's Seed Fund program, funding approximately 400 innovative startups with an average amount of approximately $500,000 per venture.[8] Given the total size of NSF's budget, this amount could be increased to an amount closer to $1 billion. Meanwhile, the NITRD also encourages research and development grants related to AI research, which should continue.[9]

Second, a plan should also promote an entrepreneurial atmosphere conducive to the support of AI innovation through SME funding by the private sector. The AI action plan can do so by providing private sector tax incentives and working with larger tech companies to set an open, accessible infrastructure for SMEs.[10] Public-private partnerships could be another area of emphasis for the AI plan.[11] Overall, access to capital for SMEs is an important factor that should be considered in the development of the AI action plan.

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[5] Michelle Kumar, *Navigating the Era of AI: Implications for Small Businesses*, BIPARTISAN POLICY CENTER (Nov. 3, 2023), https://bipartisanpolicy.org/blog/navigating-the-era-of-ai-implications-for-small-businesses/.
[6] *Id.*
[7] *FY 2025 Budget Request to Congress*, NATIONAL SCIENCE FOUNDATION (Mar. 11, 2024), https://nsf-gov-resources.nsf.gov/files/00_NSF_FY25_CJ_Entire%20Rollup_web.pdf?VersionId=cbkdqD_UMweHEIsZwPjtVgcQRwMccgvu.
[8] *About America's Seed Fund powered by NSF*, NATIONAL SCIENCE FOUNDATION, https://seedfund.nsf.gov/our-program/ (last visited Mar. 15, 2025).
[9] *Artificial Intelligence R&D Investments Fiscal Year 2019 - Fiscal Year 2025*, NETWORKING AND INFORMATION TECHNOLOGY RESEARCH AND DEVELOPMENT (NITRD), https://www.nitrd.gov/ai-rd-investments/ (last accessed Mar. 15, 2025).
[10] Tasha Austin and Kevin Lubin, *How the US Government Can Accelerate AI Entrepreneurship*, DELOITTE INSIGHTS (Aug. 23, 2022), https://www2.deloitte.com/us/en/insights/industry/public-sector/accelerating-entrepreneurship-in-artificial-intelligence.html.
[11] *Id.*

Conclusion

Generative AI has revolutionized business operations, creating opportunities for companies of all sizes to rapidly develop new business models, explore innovative solutions, increase efficiency, and enhance consumer experiences. However, new AI models have also created new risks and challenges that companies, particularly SMEs, have struggled to navigate independently. Introducing an AI action plan will help foster the growth and development of AI within the United States by providing clear guidelines for enterprises to reference as they continue to integrate this rapidly developing technology into their everyday business practices. By creating a tiered approach to AI regulation, SMEs will not be unduly burdened by high compliance costs or overly restrictive policies, ensuring that AI innovation continues within the U.S. at all levels.